

Overview of accident compensation (ACC) [T31-010]

[T31-010]

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Accident compensation has a history in New Zealand dating back to the 1900s. Over the years there have been many changes to the system. Since 1 April 2002 accident compensation has been governed by the Injury Prevention, Rehabilitation, and Compensation Act 2001. This Act consolidated the law relating to accident compensation. In March 2010, the name of the Act was changed to the Accident Compensation Act 2001 (AC).

Anyone who suffers injury by accident in New Zealand is covered by New Zealand's accident compensation scheme, which provides accident insurance for all New Zealanders. In return, people do not have the right to sue for personal injury, other than for exemplary damages. The scheme operates on a no-fault basis, to meet medical costs and in some cases monetary compensation based largely on earnings. The scheme is administered by the Accident Compensation Corporation (ACC) and is funded in part by compulsory levies payable by employers, employees, self-employed persons and motorists.

Levies

ACC levies are imposed and relate to funding claims for both work-related and non-work-related injuries that are expected in the year ahead.

ACC manages funding through accounts (see the table in "Summary of levies" below).

Employers, self-employed persons and private domestic workers must pay the levy at the rate appropriate to the occupational classification unit specified in the schedule to regulations made under the AC.

Work account levies

The work account is used to fund work-related injuries.

This account has an activity-based classification structure, which groups business activities according to injury risk and allocates costs to the business groupings in which the costs are incurred.

Businesses with employees have to pay the ACC Workplace Cover levy and self-employed people pay the ACC CoverPlus or ACC CoverPlus Extra levy.

Both businesses and self-employed people also pay the working safer levy, which is collected on behalf of the Ministry of Business, Innovation and Employment to support the activities of WorkSafe New Zealand.

Earners' levies

In addition to the work account levies payable by employers, self-employed persons and private domestic workers, the earners' levy is payable by employees, self-employed persons and private domestic workers to fund the cost of non-work injuries suffered by people in paid employment and self-employment (except motor vehicle accidents, which are funded by a tariff on the price of petrol and a component of the motor vehicle licensing fee).

Basis for levy payments

Levies are payable for a levy year, which runs from 1 April to 31 March the following calendar year. Levies payable by employees are based on earnings and are collected through the PAYE system. Levies payable by employers and self-employed persons are invoiced annually by the ACC. Invoices are generally posted from July in each year, dependant on when ACC receives earning information from Inland Revenue (IR). The work account levy paid by employers is based on earnings paid to employees in the current levy year. Levies payable by the self-employed are based on their previous years' earnings.

Injury cover

The standard injury cover for self-employed persons is called ACC CoverPlus. Under ACC CoverPlus, all full-time self-employed people who are incapacitated and have earnings are eligible for weekly compensation, generally based on their earnings in the previous year. Self-employed persons and non-PAYE shareholder-employees may apply to purchase ACC CoverPlus Extra that allows them to choose a guaranteed level of weekly compensation. The applicable levy is adjusted to reflect the nominated level of cover.

The standard cover option for employers is ACC WorkPlace Cover. The ACC automatically calculates levies and invoices employers for this cover every year. Employers also have the option of joining the ACC Accredited Employer Programme (previously the ACC Partnership Programme), which offers significant levy discounts to employers who take responsibility for their own workplace health and safety, injury management and rehabilitation of employees' workplace injuries ([131-025](#)).

Summary of levies

The table below summarises the various ACC accounts and the injury types they fund:

Account	Funded by	Covers	Entitlements
Work account	Employers (based on liable earnings of their employees), non-PAYE shareholder-employees, self-employed and private domestic workers (based on their liable earnings)	Work-related personal injuries affecting employees, the self-employed and private domestic workers	Medical and dental treatment Income replacement (lost earnings compensation) Elective surgery
Earners' account	Employees (PAYE income), non-PAYE shareholder-employees, self-employed and private domestic workers (based on their earnings)	Non-work injuries (sustained at home, sport or recreation) suffered by people in the workforce	Lump sums and death-related entitlements for surviving spouses and children
Motor vehicle account	Motor vehicle owners and users (via an annual motor vehicle levy and a petrol levy)	Motor vehicle injuries sustained on public roads (except injuries covered by the Work account)	
Non-earners' account	Government	Personal injuries sustained by people not in the paid workforce, eg students, beneficiaries, children, pensioners	
Treatment injury account	Earners' (through earners' levies — see above) and non-earners' accounts (Government)	Personal injuries caused by medical treatment	

Last reviewed on 31 December 2025

Work account levy payable by employers and private domestic workers [¶31-015]

[¶31-015]

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Employers and private domestic workers pay the work account levy for a levy year, based on the previous years' earnings. The work account levy regulations set the maximum amount of earnings for the work account levy payable by an employer or a private domestic worker.

With respect to invoicing, the work account levy is based on an estimate of the salary or wages that will be paid by the employer in the year of cover or, in the case of a private domestic worker, the amount of earnings received in the levy year as a private domestic worker. The estimate is made by the ACC using liable earnings information provided by IR for the previous levy year. For example, the ACC normally invoices employers from July 2025 for the work account levies it estimates are payable for the 2025–26 cover year, based on 2024–25 earnings.

Once employers have filed their tax returns for the 2024–25 tax year, adjustments to the estimated levies paid for the 2024–25 cover year are made by the ACC. If levies have been overpaid by less than \$20, credits are given to the employers for the 2025–26 cover year. Overpayments of more than \$20 are refunded by the ACC. Further, if an overpayment is more than \$1,000, the ACC must pay interest on the refund. For the 2024–25 levy year the interest rate was 2.21%. From the 2025–26 levy year, the interest rate payable on refunds remains 2.21%. If levies have been underpaid by more than \$20, invoices are issued for the difference (s [173](#) of the AC and reg [23](#) of the Accident Compensation (Work Account Levies) Regulations 2025).

Note: The overpayment interest rate was reduced from 6% due to lower interest rates in recent years. The interest rate is set as a fixed rate in the Work Account Levies regulations and was reviewed in 2025 for the 2025–26 levy year, as well as the 2026–27 and the 2027–28 levy years.

Employers will receive an invoice pack that contains a year-end invoice (comprising the adjustment for the prior year, if any, and the Working Safer levy) and an estimated levy invoice (comprising the estimated current portion of the work account levy).

Earnings as an employee

Earnings as an employee, in relation to any person and any tax year, means all PAYE income payments of a person for the tax year (s [9](#) of the AC).

“Earnings as an employee” in relation to any person and any tax year, does not include (s [11](#) of the AC):

- # any main benefit, veteran's pension, New Zealand superannuation, or schedular payment
- # any parental leave payments paid under Pt [7A](#) of the Parental Leave and Employment Protection Act 1987
- # any payment paid under the Compensation for Live Organ Donors Act 2016
- # any student allowance established in accordance with regulations made under s 645 of the Education and Training Act 2020
- # any amount allocated to a person or persons, other than the person who is the employee in question, under ss [CD 11](#), [CW 63](#), [DB 58](#), [GB 23](#) and [GB 24](#) of the Income Tax Act 2007 (IT07) (payment of excessive salary or wages, or allocation of excessive share of profits or losses, to relative employed by or in partnership with taxpayer)
- # any benefit arising from an employee share scheme when the employer elects to withhold and pay tax in relation to the benefit
- # any amount deemed to be a dividend paid by any person to the person who is the employee in question under s [GB 25](#) (excessive remuneration by close company to shareholder, director, or relative)

- # any redundancy payment
- # any retiring allowance
- # any pension from a superannuation scheme or pension fund that is not a retirement scheme (within s [6\(1\)](#) of the Financial Markets Conduct Act 2013) nor a superannuation scheme registered under the Superannuation Schemes Act 1989, or
- # any pension that is paid in accordance with any of the following provisions: s [DF 4](#) of the Income Tax Act 1994; s [DC 2](#) of the Income Tax Act 2004 or s [DC 2](#) of the IT07; s [DF 8A](#) or [DF 8B](#) of the Income Tax Act 1994; s [DC 3](#) of the Income Tax Act 2004 or s [DC 3](#) of the IT07; or ss [FB 11](#) and [FB 12](#) of the IT07.

Salary or wages paid to a spouse or partner are also excluded from the term “earnings as an employee”, except when approval for a deduction for the payment has been obtained from the Commissioner of IR. The ACC may accept that the required approval has been obtained if all of the following criteria are satisfied (s [10](#) of the AC):

- # services have been provided by the spouse or partner
- # the person making the payment to the spouse or partner files or has filed a tax return
- # a deduction is claimed in the tax return for the payment made to the spouse or partner
- # the spouse or partner who received the payment includes the payment in a tax return filed with the Commissioner, and
- # the spouse or partner who received the payment pays or has paid the tax on the amount received.

For the purposes of the work account levy, “earnings as an employee” does not include any payment of first week compensation or weekly compensation (s [12](#) of the AC).

Work account levy calculation

The maximum amount of employee earnings on which the work account levy is payable in respect of one employee, or a private domestic worker, is (reg [6](#) of the Accident Compensation (Work Account Levies) Regulations 2025):

- # \$152,790 for the 2025–26 tax year
- # \$156,641 for the 2026–27 tax year, and
- # \$160,244 for the 2027–28 tax year and any tax year thereafter.

Example:

Buns Unlimited is a bread manufacturer that has been in business since 1 February 1985. Its total payroll for the period 1 April 2024 to 31 March 2025 was \$150,000 and it is expected to be the same for the 2025–26 tax year. No one employee is expected to earn more than \$152,790 during that year. The following will be invoiced to Buns Unlimited in respect of the 2025–26 cover year:

<i>Work account levy</i>	\$
classification unit: bread manufacturing (21610)	
(0.79 × 150,000/100)	1,185.00
<i>Working safer levy</i>	
(0.08 × 150,000/100)	<u>120.00</u>
Subtotal	1,305.00
Add GST @ 15%	<u>195.75</u>
Total ACC levies payable to the ACC by the date specified on the invoice	<u>1,500.75</u>

Estimation

As noted above, the work account levy is based on an estimate of the salary or wages that will be paid in the year of cover. This estimate is usually made by the ACC (because payment of the work account levy is required before a tax return for that year has been filed), but it may be made by the employer. New employers commencing business may make an estimate. Note that an estimate *must* be made if an employer reasonably believes that the amount of salary or wages that will be paid in the current year of cover will change by at least 20% from the previous year (ss [173](#) and [174](#) of the AC).

Classification of activity

The work account levy rate is determined by the type of activity or activities carried on. An “activity” is generally defined as a business, industry, profession, trade or undertaking, and includes administration, management, marketing and distribution, technical support, maintenance and product development. For a self-employed person, an “activity” refers to the nature of the self-employed person’s work rather than the context of business in which the self-employed person is working (s [6](#) of the AC).

The work account levy rates for the 2025–26 tax year, on an activity basis, were contained in [Sch 1](#) of the Accident Compensation (Work Account Levies) Regulations 2025 and the rates for the 2026–27 tax year are contained in [Sch 2](#) and the rates for the 2027–28 tax year are contained in [Sch 3](#) of those regulations.

For the purposes of the work account levy, employees must be classified according to the employer’s activity. If an employer is engaged in 2 or more activities, all the employer’s employees must be classified in the activity attracting the highest levy rate. However, the employee may be classified in different classifications for different activities if all of the following are satisfied (s [170](#) of the AC):

- # the employer requests that different rates be applied
- # the employer is engaged in 2 or more distinct and independent activities
- # each of those activities provides services or products to external customers in such a way that each activity could, without adaptation, continue on its own without the other activities, and
- # accounting records are kept to demonstrate the separate management and operation of each activity, and to allocate to each activity the earnings of the employees engaged solely in that activity.

If an employee is engaged in 2 or more activities, the employee must be classified in the activity attracting the highest levy rate. However, if a particular activity accounts for 5% or less of an employee’s earnings for the year, then that activity need not be considered when determining the correct rate, provided accurate records are kept regarding the apportionment of total earnings in the levy year (s [171](#) of the AC).

If none of the levy classifications defined in the regulations specifically apply to the activity of a particular employer, ACC may define the appropriate classification and decide the levy for that classification (s [239](#) of the AC).

Work account levy adjustments

Upward adjustments of 50% must be made if an upward audit discloses that an employer’s safety management practices fail to meet the standard required by the upward audit tool (s [175](#) of the AC and reg [17](#) of the Accident Compensation (Work Account Levies) Regulations 2025). If an upward adjustment has taken effect in a tax year, the Corporation must arrange a further upward audit of the employer to be conducted in every later tax year until an upward audit discloses that the employer’s safety management practices meet the standard required by the upward audit tool (reg [19](#)).

If in any tax year, after an employer has paid the Work Account levy for that tax year (including the applicable upward adjustment to that levy), a further upward audit under reg [19](#) discloses that the employer’s safety management practices meet the standard required by the upward audit tool, ACC must pay, on the employer’s request, any refund due exceeding \$100 (after the downward adjustment). If the employer does not request a refund or the refund amount is \$100 or less, a credit will be made to the work account levy due for the next tax year (reg [21](#) of the Accident Compensation (Work Account Levies) Regulations 2025).

Work account levy payment

The ACC invoices the work account levy from employers and self-employed persons directly as part of its annual invoicing cycle. Employers and self-employed persons receive only one invoice from the ACC for all levies and only one payment is required per year. As noted above, this invoice will include the estimate of levies for the current year together with the adjustment for the prior year. The ACC begins to issue invoices from June. Payments are due by the date specified in the invoice.

An employer or a private domestic worker is not liable to pay an amount of work account levy if the invoice amount for the levy is less than \$20. Similarly, a self-employed person is not liable to pay an amount of work account levy if the invoice amount for the levy is less than \$40. In addition, no penalties will be payable for the non-payment of the work account levy invoiced within these thresholds.

Arrangements may be made with ACC to pay the work account levy by instalments. However, interest is payable if levies remain unpaid on the day that is 30 days after the due date for payment, and penalties may apply if the full amount is not paid within a further 6 months (ss [234](#) and [250](#) of the AC).

Earnings from 2 or more employers

If an employee has 2 employers and the total of the employee's earnings exceeds the specified maximum for the tax year, each employer must pay the work account levy for that employee up to the specified maximum. Each employer must then apply, in writing, to the ACC for a refund of the work account levy overpaid. The refund is calculated on each employer's proportion of earnings paid to the employee.

Example:

Doctor Clarke works at 2 hospitals for which she receives a total income of \$240,000 pa, derived as follows:

Hospital One:	\$190,000
Hospital Two:	\$50,000

Step 1

Calculate earnings on which levy was actually paid

Hospital One:	\$152,790 (maximum levy 2025–26 year)
Hospital Two:	\$50,000
Total:	\$202,790

Step 2

The ratio of each employer's amount to the total \$202,790 (rounded)

Hospital One:	$\$152,790 / \$202,790 = 75\%$
Hospital Two:	$\$50,000 / \$202,790 = 25\%$

Step 3

Calculate earnings on which excess levy over specified maximum was paid

Total earnings on which levy paid: \$202,790
 Less specified maximum: \$152,790
 Total earnings on which excess levy paid: \$50,000

Step 4

Calculate proportion of earnings on which excess levy paid to be attributed to each employer

Hospital One:	$\$50,000 \times 75\% = \$37,500$
Hospital Two:	$\$50,000 \times 25\% = \$12,500$

	Total:	\$50,000
Result	Hospital One:	Liability earnings reduced by \$37,500
	Hospital Two:	Liability earnings reduced by \$12,500

Source: Adapted from *Chartered Accountants Journal*, November 2003.

The refund application must be made within 4 years of the end of the tax year for which the employer levy is payable. For example, an application for a refund of work account levy overpaid for an employee with 2 employers for the 2021–22 tax year must be made by the end of the 2025–26 tax year.

Law: AC ss [6](#), [9–12](#), [168–174E](#), [234](#), [239](#), [244](#), [250](#)

Last reviewed on 31 December 2025

Options to reduce ACC levies [¶31-025]

[¶31-025]

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Accredited employers with ACC

Instead of the standard cover option that employers receive automatically (ACC WorkPlace Cover — see [¶31-010](#) and [¶31-015](#)), an employer may choose to enter into an accreditation agreement with the ACC under the ACC Accredited Employer Programme. The purpose of accreditation agreements is to promote injury prevention and rehabilitation, and reduce work-related personal injury claim costs and levies, by allowing accredited employers to manage workplace injuries and to provide statutory entitlements in relation to work-related personal injuries suffered by their employees.

An accreditation agreement may provide that the employer is liable for some or all of the cost of providing statutory entitlements in relation to work-related personal injuries suffered by the employer's employees and, in return, the ACC will charge the employer reduced levies. Levies can be adjusted by up to 90% in exchange for taking responsibility for employees' work injury claims. An accreditation agreement suits employers who pay an annual Work Levy of over \$250,000.

The ACC may not enter into an accreditation agreement unless it considers that the specified requirements are satisfied, including the employer having appropriate health and safety policies and procedures to prevent work-related personal injuries, and having adequate reporting procedures. The ACC must establish a monitoring and audit programme in relation to accredited employers and accredited employers must report to the ACC in accordance with their accreditation agreements. If an accredited employer does not perform its obligations under an accreditation agreement, those obligations must be performed by the ACC.

Workplace incentive programmes

ACC has developed and established workplace incentive programmes (ss [174A–174F](#) of the AC). The purpose of these programmes is to incentivise employers and self-employed persons to reduce the incidence, severity and impact of work-related injuries. A person's work account levy will be able to be adjusted up or down in accordance with a workplace incentive programme.

ACC undertook consultation and proposed changes that represent a shift in focus from a strongly compliance-driven approach to one that better reflects a business' own health and safety performance and provides direct assistance to make health and safety improvements. Key changes implemented so far include the simplification of the existing experience rating system and the introduction of injury prevention grants and injury prevention subsidies.

No claims discount and experience rating programme

The current experience rating system modifies a business's ACC work levy based on the claims history of that business. This recognises that some owners have better safety claims history than others and aims to reward safe workplaces.

Under the experience rating system, discounts on work levies may be available to employers with lower-than-average injury rates and better-than-average rehabilitation or return to work rates. Employers with worse-than-average claims experience may receive a loading on their work levy.

There are 2 methods for applying experience rating:

- # the experience rating programme
- # the no-claims discount programme (ceasing from 1 April 2026).

The following table illustrates each method.

	Experience rating programme	No-claims discount programme
Annual work levy	\$10,000 or more per annum for each of the 3 years in the experience period	Less than \$10,000 per annum for all or any of the 3 years in the experience period
Experience period (based on a 3-year period of claims history, eg 1 April 2022 to 31 March 2025)	3 years	
Qualifying claims	#number of weekly compensation days paid #number of claims with medical costs greater than \$750 #any fatal claim	#number of weekly compensation days paid #any fatal claim
Maximum possible loading/ discount	The maximum modification will be up to + 75%/- 50% of the business's standard industry levy rate	The maximum discount or loading will be +/- 10% of the business's standard industry levy rate
Based on your individual performance comparative to your industry peers	Yes	No
Formula	Modification comprises: #industry size modification #experience rating modification (weekly compensation days paid, and number of claims with medical costs greater than \$750, and fatal claims)	#"no claims discount" of 10% if no weekly compensation or fatal injury claims were made over the experience period #no change to levy if your business has generated between one and 70 weekly compensation days paid and no fatal claim #a 10% loading will be applied if your business has generated more than 70 weekly compensation days paid or any fatal claim

The regulations set experience rating for small employers (qualifying class 1 levy payers) and set a different, more sophisticated regime for larger employers (qualifying class 2 levy payers). However, from 1 April 2026 the experience rating of qualifying class 1 levy payers will cease, with only qualifying class 2 levy payers continuing to be experience-rated.

Under the 2022 regulations, part of the calculation required to set an employer's experience rating included the number of claims for which the ACC paid more than \$500 for the costs of treatment. Under the 2025 regulations, that amount has been increased to \$750.

The calculation of a discount or loading has been amended, from 1 April 2026, by adding a multiplier of 1.072. This is intended to remove the cross-subsidisation of qualifying class 2 levy payers by other Work Account levy payers.

The minimum liable earnings thresholds for the 2025–26 to 2027–28 years are set out in the [Accident Compensation \(Experience Rating\) Regulations 2025](#). In addition, businesses and self-employed people who have not been invoiced for an ACC levy for each year of the experience period will not be subject to experience rating.

There is provision for claims arising from an "adverse event" to be excluded from a business's claims record for experience rating purposes. Accordingly, provided the employer did not materially contribute to the injury, an employer's experience rating will not be impacted by claims arising from injuries resulting from the adverse event.

The table below sets out the experience rating bands and how they affect an employer's final discount or levy:

	Experience rating bands	Final discount or loading
Discount	<= #45	#50%
	<#45 to #35	#40%
	<#35 to #25	#30%
	<#25 to #15	#20%
	<#15 to #5	#10%
Neutral	>#5 to 5	0%
Loading	>5 to 15	+10%
	>15 to 25	+20%
	>25 to 35	+30%
	>35 to 45	+40%
	>45 to 55	+50%
	>55 to 65	+60%
	>65 to 75	+70%
	>75 to 85	+80%
	>85 to 95	+90%
	>95	+100%

Law: AC ss [174A–174F](#), [181–189](#)

Last reviewed on 31 December 2025

ACC earners' levy [¶31-048]

[¶31-048]

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The accident compensation earners' levy is payable by:

- # salary or wage earners
- # self-employed persons, and
- # private domestic workers.

For the 2025–26 tax year, the earners' levy has been set at a rate of \$1.67 per \$100 of earning, exclusive of GST. The earners' levy for the 2026–27 tax year has been set at \$1.75 per \$100, and for the following year, the 2027–28 tax year, it has been set at \$1.83 per \$100.

The levy rate will be reduced for a self-employed person who has purchased the right to receive weekly compensation (see [¶31-055](#) under heading "Predetermined and guaranteed weekly compensation"). A formula is provided for the calculation of the reduced levy (reg [7](#) of the Accident Compensation (Earners' Levy) Regulations 2025).

Self-employed persons and private domestic workers may use the interactive calculators on the ACC website (www.acc.co.nz) to work out what their levies will be.

For salary or wage earners who are employees, or shareholder-employees who pay PAYE, the combined levies are collected by the employer or PAYE intermediary, and paid to IR as part of the PAYE payments. Similarly, private domestic workers pay the combined levies to IR.

For the 2025–26 tax year, the maximum amount of earnings on which an earner had to pay the earners' levy was \$152,790 with a maximum earners' levy payable being \$2,551.59. For the 2026–27 tax year the figure is \$156,641 with a maximum levy of \$2,741.22, and for the 2027–28 tax year this figure increases to \$160,244 with a maximum levy of \$2,932.47 payable.

For information relating to self-employed people working an average of more than 30 hours per week and earning less than the minimum income, see [¶31-055](#).

Law: AC ss [219–222](#); IT07 s [RA 9\(1\)\(c\)](#)

Last reviewed on 31 December 2025

ACC levies payable by self-employed people [¶31-055]

[¶31-055]

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Self-employed persons pay:

- # the work account levy ([¶31-015](#))
- # the working safer levy ([¶31-080](#)), and
- # the earners' levy ([¶31-048](#)).

See Example below.

Payment of the accident compensation levies must be made in accordance with the invoice.

Note: The ACC has been contacting people who are in the business of providing short-stay accommodation (eg AirBnB and BnB suppliers) regarding ACC levies payable as they are treated as self-employed people.

Minimum and maximum income levels

The work account levy and the earners' levy are subject to minimum and maximum income levels. For the levy year beginning on 1 April 2025, the maximum income level for a self-employed person is \$152,790. This increased to \$156,641 for the 2026–27 tax year and to \$160,244 in the 2027–28 tax year or later tax years.

For levy year beginning on or after 1 April 2025, the minimum amount of earnings on which the earners' levy is payable by a self-employed person who works, on average, for more than 30 hours per week (whether as an employee or not) is \$49,365. The thresholds for the following tax years are \$50,501 for the 2026–27 tax year and \$51,632 for the 2027–28 tax year. See Examples below.

A self-employed person is not required to pay the work account levy or the earners' levy if the amount invoiced for that levy is less than \$40. In addition, no penalties will be payable if an amount of the work account levy or the earners' levy invoiced under this threshold remains unpaid.

Work account levy

Work account levies payable by self-employed people are based on the person's previous year's earnings from self-employment.

The work account levy rates for the 2025–26 tax year for self-employed persons, on an activity basis, were contained in [Sch 1](#) of the Accident Compensation (Work Account Levies) Regulations 2025 and the rates for the 2026–27 tax year are contained in [Sch 2](#). The rates for the 2027–28 tax year are contained in [Sch 3](#) of those regulations.

No loss offset from earlier tax years is allowed in determining a person's earnings from self-employment ([¶18-015](#)) (s [169A](#) of the AC).

If a person earns income both from self-employment and as an employee, ACC levies will be payable on the self-employed income. See Example, mixed income, below.

A newly self-employed person who is working an average of more than 30 hours per week and did not have earnings from self-employment in the previous tax year, pays the work account levy and earners' levy based on the minimum income levels. See Example, no previous self-employed earnings, below.

Classification of activity

The work account levy rate is determined by the type of activity or activities carried on. For the definition of "activity" see [¶31-015](#) and ss [6](#) and [168B](#) of the AC.

A self-employed person who is engaged in 2 or more activities must pay the work account levy at the highest applicable rate. However, if a particular activity accounts for 5% or less of the self-employed person's earnings for the income year, then that activity need not be considered when determining the correct rate, provided accurate records are kept regarding the apportionment of total earnings in the income year (s [171](#) of the AC).

Reduction in levy

A self-employed person's work account levy may be reduced on the basis of that person's safety management capabilities. The ACC will decide whether an adjustment will be made and the level of the adjustment. See s [175](#) of the AC.

ACC has established workplace incentive programmes that allow adjustments to the work account levy. See [131-025](#).

Note: The following examples are based on levy rates for the levy year commencing 1 April 2025.

Example: General

James is self-employed, running his own business as a café operator. He has been in business since January 1993. In the 2024–25 tax year James derived net income of \$50,000. James has not purchased the right to receive a predetermined and guaranteed level of weekly compensation.

The following levies for the 2025–26 cover year will be payable by James to the ACC on invoice:

	\$
<i>ACC CoverPlus levy</i>	
Classification unit: cafes and restaurants (57300)	
Work account levy	
$(\$0.56 \times \$50,000/100)$	280.00
Earners' levy (current portion)	
$(\$1.67 \times \$50,000/100)$	835.00
<i>Working safer levy</i>	
$(\$0.08 \times \$50,000/100)$	<u>40.00</u>
Subtotal	1,155.00
Add GST @ 15%	<u>173.25</u>
Total ACC levies payable to the ACC on invoice	<u>1,328.25</u>

Example: Minimum income

Chris works 32 hours a week as an independent tutor in accounting with the local university. Her income earned from tutoring during the 2024–25 tax year was \$25,000. Chris has not purchased the right to receive a predetermined and guaranteed level of weekly compensation and she did not receive any earnings as an employee.

As Chris has worked for more than an average of 30 hours per week earning income from self-employment, she is liable to pay levies to ACC calculated on the minimum income amount of \$49,365.

The following levies for the 2022–23 cover year will be invoiced to Chris by the ACC:

	\$
<i>ACC CoverPlus levy</i>	

Classification unit: higher education (84310)

Work account levy

$(\$0.12 \times \$49,365/100)$	59.24
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Earners' levy

$(\$1.67 \times \$49,365/100)$	824.40
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Working safer levy

$(\$0.08 \times \$25,000/100)$	<u>20.00</u>
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Subtotal	903.64
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Add GST @ 15%	<u>135.55</u>
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Total ACC levies invoiced	<u>1,039.19</u>
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Example: Mixed income

George is an employee in a local accounting firm working 25 hours a week as a clerk. George also has an independent contract with a local telemarketing company as a telemarketer for 7 hours a week. In the 2024–25 tax year George received \$21,000 in salary and wages as a clerk and \$7,000 from his telemarketing. George is classified as "full-time" for the purposes of the earner levy because he works for a total of more than 30 hours per week. George has not purchased the right to receive a predetermined and guaranteed level of weekly compensation.

The following levies for the 2025–26 cover year will be invoiced to George by the ACC:

\$

ACC CoverPlus levy

Classification unit: telecommunication services (71230)

Work account levy

$(\$0.05 \times \$7,000/100)$	3.50
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Earners' levy

$((\$49,365 \# \$21,000)/100) \times \$1.67$	473.70
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Working safer levy

$(\$0.08 \times \$28,000/100)$	<u>22.40</u>
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Subtotal	499.60
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Add GST @ 15%	<u>74.94</u>
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Total ACC levies invoiced	<u>574.54</u>
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Of the amount invoiced, George will be liable to pay:

\$

Earners' levy

473.70

Working safer levy	22.40
	496.10
Add GST @ 15%	74.42
	570.52

George is not required to pay the work account levy because the amount invoiced is less than \$40.

George will also pay ACC levies on his earnings as an employee via PAYE.

Example: No previous self-employed earnings

Toni starts her own market research business on 1 April 2025. Before that date, Toni worked as an employee. During the 2025–26 tax year Toni works an average of 35 hours per week and informs IR that she is self-employed. Toni has not purchased the right to receive a predetermined and guaranteed level of weekly compensation.

In 2025, ACC will invoice Toni for ACC CoverPlus based on the minimum liable earnings specified by regulation for the 2025–26 cover year, being \$49,365:

	\$
<i>ACC CoverPlus levy</i>	
Classification unit: market research services (78530)	
Work account levy	
($\$0.06 \times \$49,365/100$)	29.62
Earners' levy	
($\$1.67 \times \$49,365/100$)	842.40
Subtotal	872.02
Add GST @ 15%	130.80
Total ACC levies invoiced (for 12 months)	1,002.82

The levies for the 12-month cover period would be pro-rated if Toni had started her business after the beginning of the cover period. She receives an invoice once she has informed the ACC or IR of her employment status.

Self-employed persons may use the interactive calculators on the ACC website (www.acc.co.nz) to work out what their levies will be. However, where the self-employed person has mixed income, as in Example 3, care should be taken to ensure the correct result.

Predetermined and guaranteed weekly compensation

A self-employed person and a non-PAYE shareholder-employee ([131-060](#)) can apply to ACC for the right to receive a predetermined and guaranteed level of weekly compensation for loss of earnings as a self-employed person or shareholder-employee for any personal injury covered under ACC. This type of policy is known as the CoverPlus Extra policy. If no such agreement has been entered into, compensation will be determined in accordance with [Sch 1](#) of the AC.

The guaranteed level of weekly compensation must be more than a specified minimum and less than a specified maximum. The specified minimum amount is 80% of the minimum weekly earnings, adjusted annually in accordance with [Sch 1 cl 42](#) of the AC.

From 1 July 2025, the specified maximum guaranteed level of weekly compensation is \$2,418.55 per week and the specified minimum is \$752.00. They are subject to adjustment for the movement in average weekly earnings (s [115](#) and [Sch 1 cls 42\(3\)](#) and [46](#) of the AC).

If a self-employed person or shareholder-employee enters into an agreement with the ACC for the right to receive guaranteed weekly compensation, the levy payable by the self-employed person or shareholder-employee is determined in accordance with regulations. The self-employed person or shareholder-employee must continue to pay the earners' levy (ss [211](#) and [212](#) of the AC).

Law: AC ss [6](#), [168B](#), [169A](#), [171](#), [175](#), [208–212](#), [222](#), [244](#), [Sch 1](#)

Last reviewed on 31 December 2025

Shareholder-employees and ACC [¶31-060]

[¶31-060]

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Employers are required to pay the earner's levy and work account levy in respect of PAYE earnings paid to shareholder-employees. Classification for levy purposes is based on the main activity of the company and not that of the individual shareholder-employee.

Shareholder-employees who are not subject to PAYE deductions may apply to the ACC to take out their own ACC CoverPlus Extra policy and receive a predetermined and guaranteed level of weekly compensation. See [¶31-055](#) under the heading "Predetermined and guaranteed weekly compensation". Shareholder-employees who purchase ACC CoverPlus Extra are treated as self-employed for the calculation of weekly compensation entitlements and they pay levies at self-employed rates.

Where a non-PAYE shareholder-employee purchases ACC CoverPlus Extra, their employer is not required to pay the earner's levy or work account levy in respect of earnings paid to the shareholder-employee. Shareholder-employees who purchase ACC CoverPlus Extra are invoiced by ACC for the ACC CoverPlus levy (the work account levy and earners' levy), and the working safer levy.

Applications for ACC CoverPlus Extra can be made online through MyACC for Business.

Law: AC ss [190](#), [191](#)

Last reviewed on 31 December 2025

Deductibility of ACC levies [¶31-065]

[¶31-065]

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Deductibility of accident compensation levies are subject to the general permission ([¶10-021](#)) being satisfied and application of any of the general limitations ([¶10-071](#)). ACC levies will generally meet the test for deductibility under s [DA 1](#) as they are part of the costs of employing people.

IR have confirmed that the private limitation under s [DA 2\(2\)](#) will not apply to self-employed persons in respect of the ACC earners' levy (despite the fact that the earner's levy paid by self-employed persons is used to fund accidents that do not occur at work). The Commissioner's view on the deductibility of ACC earners levy remains as published in *Tax Information Bulletin ¶111-107 Vol 11 No 1* January 1999, which confirmed that the earners' account levy is tax deductible for income tax purposes. This applies to both self-employed persons and partners.

Earners' levy is deductible to a company paying on behalf of a shareholder-employee, because it is expenditure on account of an employee. The deduction for the company is based on the ability to claim a deduction for employee remuneration (including the ACC levies) rather than because it is earners' levy.

The other ACC levies, like the work account levy and working safer levy, are fully deductible as they are used to fund work related accidents for all employees.

The ACC Cover Plus Extra premiums paid by the employer company as expenditure on account of an employee is deductible for the company, however the premiums will be assessable income to the shareholder-employee and non-deductible to that shareholder-employee. Conversely, if the premium is simply debited to the shareholder-employee current account, there is no deduction to the employer company. This is because the Cover Plus Extra policy cover the shareholder-employee and compensation under the policy is treated as income from employment. Therefore, the employment limitation under s [DA 2\(4\)](#) applies and these levies are non-deductible to the shareholder-employee.

Accident compensation levies are generally deductible in the year in which they are due ([¶31-070](#)).

ACC levies and GST

Generally, GST input tax credit can only be claimed when the ACC levy is deductible to the taxpayer.

Last reviewed on 31 December 2025

Timing of deductions for ACC levies [¶31-070]

[¶31-070]

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Levies collected by the ACC under the AC are generally deductible in the year in which they become due and payable by the person. The levies are:

- # work account levies
- # earners' levies
- # levies to meet the costs of the Regulator
- # contributions to the insolvent insurers' fund, and
- # levies or penalties paid to the non-compliers' fund.

If a deduction for the levy has been allocated to an income year earlier than the income year in which the levy becomes due and payable, the deduction remains allocated to the earlier income year if the Commissioner of IR cannot lawfully amend the assessment for the income year.

Early balance date taxpayers

If a person has a balance date between 1 October and 6 April (inclusive), special provision is made to ensure that the timing of deductibility of the above levies is not affected by the extension of the terminal tax due date for persons with a tax agent.

Law: IT07 s [EF 3](#)

Last reviewed on 31 December 2025

Taxation of ACC compensation payments [¶31-075]

[¶31-075]

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All payments of weekly compensation made under the AC by the ACC are income.

Similar types of compensation paid under the Accident Compensation Act 1982, the Accident Rehabilitation and Compensation Insurance Act 1992, the Accident Insurance Act 1998 and the Injury Prevention, Rehabilitation, and Compensation Act 2001 are also income ([¶15-302](#)).

Example:

In Case Z9 ([2009](#)) [24 NZTC 14,100](#) the Taxation Review Authority held that when tax-exempt benefits were replaced with ACC weekly compensation, the benefits became assessable income because they had the character of compensation.

Generally, employees receiving earnings-related compensation and allowances from the ACC will be subject to PAYE on those payments. See the definition of “salary or wages” in s [RD 5](#).

Law: IT07 ss [CF 1\(1\)\(a\)](#), [\(2\)](#), [RD 5](#)

Last reviewed on 31 December 2025

Taxation of ACC lump sum compensation payments [¶31-076]

[¶31-076]

[Click to open document in a browser](#)

Lump sum support payments

An issue arose for recipients of lump sum compensation payments as application of the general derivation of income rule provides that income is taxed in the year it is received for most individuals. This could result in an unfair position for a taxpayer as the lump sum amount may push an individual into a higher tax bracket for the tax year in which it is received. If this happened, the individual is taxed at a higher marginal tax rate and receives less than they would have been entitled to if the amounts had been paid in previous years, or over a number of income years.

From 1 April 2024 payments of backdated accident compensation earnings-related payments, personal services rehabilitation payments and support payments made under the Veteran's Support Act 2014, which are paid out in a lump sum, are able to be taxed in a different way.

In effect, the recipient's tax liability is approximated to ensure that the lower amount of tax is applied as if it had been paid in earlier years. The tax rate that applies to these backdated ACC compensation payments that consist of a lump sum and related to more than one income year (a multi-year support payment) is either:

- # 10.5% if the average basic tax rate is less than 10.5%, or
- # the person's average basic tax rate, or
- # the person's basic tax rate for the income year they receive the multi-year compensation payment if the person's basic tax rate is less than the average basic tax rate.

The "average basic tax rate" is calculated over the period of the 4 income years (the rate averaging period) ending before the income year in which the person derives the multi-year support payment. The formula for the average basic rate is:

$$\text{total basic rates} \div \text{number of income years.}$$

Where:

- # total basic rates is the sum of the person's basic tax rate calculated under Schedule 1, part A, clause 1 for each of the income years in the rate averaging period for which that rate is known by the Commissioner:
- # number of income years is the number of income years within the rate averaging period for which the person's basic tax rate is known by the Commissioner and included in the total basic rates.

A minimum withholding rate of 10.5% has been set. The provision introduces a 'lower of' test to ensure that recipients are not disadvantaged under the alternative tax treatment compared to application of the general derivation rule. If the recipient has had a higher tax rate in the 4 years prior to receiving the backdated lump sum but has a lower tax rate in the year the backdated lump sum payment is paid, the previous tax treatment would apply and the lump sum will be taxed according to the rate applicable in the year in which it is received. ACC can request the recipient's tax rate before the backdated lump sum is made and apply the rate as the withholding rate on the payment. Consequently, no additional tax should be payable for the backdated lump sum as long as the recipient's circumstances do not change. Note that the alternative tax rate applies to the backdated lump sum payment separately from the individual's other income in the year they receive the payment.

There are examples that illustrate how the alternative tax treatment works in *Tax Information Bulletin* [¶364-102a Vol 36, No. 4](#), May 2024

Attendant care payments

Attendant care payments receive a different tax treatment to support payments. Attendant care payments are also referred to as personal services rehabilitation payments. These payments are sometimes passed on to third parties. If attendant care payments are passed on to third parties, the existing tax treatment remains unchanged, and the income will be exempt income to the recipient to the extent that income is passed on. Those amounts are then taxable to the person providing those care services. Attendant care payments have a standard rate of 10.5% withheld under part 1 of sch 4.

If the amount is not passed on it will be taxable to the recipient under the rules for multi-year support payments. The majority of backdated lump sum payments that relate to attendant care are likely to be retained by the recipient.

The withholding tax treatment for backdated lump sum attendant care payments differs from support payments (discussed above). As these payments have a standard withholding tax rate of 10.5%, the same withholding tax rate will be applied to attendant care backdated lump sums. However, the recipient may want tax on their payment to be withheld at their average tax rate for the prior 4 years. This would amount to a tailored tax rate; however, it should be noted that average tax rates inevitably result in a higher rate of withholding than the standard withholding rate. For attendant care payments, there is a high likelihood that the applicable tax rate will be 10.5% and therefore the standard rate is likely to be the most appropriate rate for these types of payments.

Law: IT07 s [RD 20B](#)

Last reviewed on 31 December 2025

Working safer levy (health and safety levy) [¶31-080]

[¶31-080]

[Click to open document in a browser](#)

Employers must pay a separate levy, known as the working safer levy, of 8¢ per \$100 of earnings paid to employees to meet the costs of administration of the Health and Safety at Work Act 2015. The levy is also payable at the rate of 8¢ per \$100 of earnings derived by the self-employed. This levy is included in the scheduled rates put out by the ACC in its publications but is not included in the basic rates set out in the regulations.

The funding levy is paid, collected and remitted together with the work account levy paid under the AC. The Health and Safety at Work (Rates of Funding Levy) Regulations 2016 prescribe the rate of the funding levy.

The Health and Safety at Work Act 2015 is part of “Working Safer: a blueprint for health and safety at work” and reforms New Zealand’s health and safety system following the recommendations of the Independent Taskforce on Workplace Health and Safety.

The Act’s key emphasis is on everyone in the workplace being responsible for health and safety. The Act works to focus effort on what matters, based on business risk, control and size by:

- # reinforcing proportionality — what a business needs to do depends on its level of risk and what it can control
- # shifting from hazard spotting to managing critical risks — actions that reduce workplace harm rather than trivial hazards
- # introducing the “reasonably practicable” concept — focusing attention on what is reasonable for a business to do
- # changing the focus from the physical workplace to the conduct of work — what the business actually does and so what it can control
- # supporting more effective worker engagement and participation — promoting flexibility to suit business size and need.

Law: HSW s [201](#)

Last reviewed on 31 December 2025